

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-16

SAMSUNG ELECTRONICS

AMERICA, INC.,

COMPLAINANT,

v.

COSCO SHIPPING LINES CO. LTD.,

RESPONDENT

v.

SAMSUNG ELECTRONICS CO., LTD., SAMSUNG SDS GLOBAL

SCL ASIA PACIFIC PTE LTD, and SAMSUNG ELECTRONICS

LOGITECH COMPANY, LIMITED,

THIRD PARTY RESPONDENTS.

**COMPLAINANT SAMSUNG ELECTRONICS
AMERICA, INC.'S REPLY IN FURTHER SUPPORT OF
MOTION TO DISMISS RESPONDENT'S COUNTERCLAIM**

TABLE OF CONTENTS

	Page
ARGUMENT	1
I. Application of FRCP 12(b)(6) Requires FRCP 9(b)’s Heightened Pleading Requirements, and the Commission’s 1993 Ruling on its Procedural Rules Explicitly Does Not Address FRCP Rule 9(b).	1
II. COSCO Fails to Plead a Section 41102(a) Violation Under Even General Pleading Standards.	3
1. COSCO Fails to Plead that SEA “knowingly and willfully” Engaged in Conduct and Concedes its Allegations Rely on an Un-pleaded Agency Claim.	4
2. COSCO Fails to Plead that SEA’s Conduct Constitutes an Unjust Device or Means.	7
3. COSCO Fails to Plead that SEA Obtained or Attempted to Obtain Ocean Transportation at Lower Rates Than Would Otherwise Apply.	9
4. COSCO’s Allegations Regarding the Purported Unpaid \$4 Million Are Barred by Interpretive Regulation.	11
5. COSCO Arguments that SEA Was a “Shipper” and “Owner” are Irrelevant to Pleading a Violation of Section 41102(a).	12
III. COSCO Fails to Address Noerr-Pennington.	13
IV. COSCO’s Counterclaim Should be Dismissed With Prejudice.	14
CONCLUSION	15

TABLE OF AUTHORITIES

Page(s)

Cases

<i>Ashcroft v. Iqbal</i> , 556 U.S. 662 (2009)	4
<i>Bank Line Limited v. Jet Set Marine, Inc.</i> , Dkt. No. 91-58, 26 S.R.R. 380 (ALJ Denial of Summary Judgment, May 8, 1992).....	14
<i>Capitol Transportation, Inc. v. U.S.</i> , 612 F.2d 1312 (1st Cir. 1979)	7, 14
<i>Cuoco v. Moritsugu</i> , 222 F.3d 99 (2d Cir. 2000).....	15
<i>Hurst v. District of Columbia</i> , 681 F. App'x. 186 (4th Cir. 2017).....	4, 13
<i>L-7 Designs, Inc. v. Old Navy, LLC</i> , 647 F.3d 419 (2d Cir. 2011).....	5
<i>Maher Terminals, LLC v. The Port Authority of New York and New Jersey</i> , Dkt. No. 12-02, 2015 WL9426189 (Dec. 18, 2015)	2
<i>Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.</i> , Dkt. No. 09-01, 31 S.R.R. 1369 (ALJ June 22, 2010)	3
<i>Samsung Electronics America, Inc. v. HMM Co. Ltd.</i> , Dkt. No. 24-23 (ALJ Order Partially Granting Motion to Dismiss, March 24, 2025).....	2
<i>Spagnola v. Chubb Corp.</i> , 264 F.R.D. 76 (S.D.N.Y. 2010).....	6
<i>Wood ex rel. U.S. v. Applied Research Assocs., Inc.</i> , 328 Fed. Appx. 744 (2d Cir. 2009)	3
<i>U.S. v. Open Bulk Carriers</i> , 727 F.2d 1061 (11th Cir. 1984).....	7, 8

Statutes

46 U.S.C. § 40102(23)	12
46 U.S.C. § 41102(a).....	<i>passim</i>

46 U.S.C. § 41102(c).....	2
46 U.S.C. § 41104(a)(15).....	2
46 U.S.C. § 41106(3)	2

Other Authorities

46 C.F.R. § 502.12	3
46 C.F.R. § 545.2	3, 8, 11, 12
46 C.F.R. § 571.2	3
FRCP 9(b)	1, 2, 3
FRCP 12(b)(6).....	1
<i>Misc. Amend. to Rules of Practice and Procedure,</i> Dkt No. 93-02, 58 Fed. Reg. 42273, 1993 FMC LEXIS 28 (FMC 1993)	2, 8
<i>Misc. Amend. to Rules of Practice and Procedure,</i> Dkt. No. 93-02, 58 Fed. Reg 7199-02, 1993 WL 24815 (FMC 1993)	2

Complainant Samsung Electronics America, Inc. (“SEA”), by its undersigned attorneys, respectfully submits this Reply to COSCO Shipping Lines Co. Ltd.’s (“COSCO”) Opposition to Complainant’s Motion to Dismiss COSCO’s Counterclaim under 46 U.S.C. § 41102(a).

ARGUMENT

As set out in detail in the Motion to Dismiss (the “Motion”), COSCO has failed to plead sufficient factual allegations – let alone the particularized allegations required by Federal Rule of Civil Procedure 9(b) – to support its counterclaim against SEA. COSCO’s Opposition to the Motion fails to address that fatal deficiency with its counterclaim. COSCO’s Opposition also fails to meaningfully address the equally fundamental defect that its counterclaim targets SEA conduct that is protected by the *Noerr-Pennington* doctrine. Instead, COSCO now reveals that many of its key allegations are based upon a non-specific, wholly unsupported and un-pleaded agency claim that “the four Samsung entities are [] joint tortfeasors, and actions and knowledge of one may be attributed to the others” – a claim upon which it now concedes it relies heavily for further claims of “concealment,” and “knowing and willful” behavior. The inadequacy of its agency claim is especially plain given its acknowledgement that SEA was not a signatory to any Service Contracts upon which it bases its claims. In short, COSCO’s Counterclaim is nothing more than a bungled attempt to convert its contractual disagreement into a bad faith pleading of a violation of Section 41102(a) through thinly-veiled conclusory allegations. SEA addresses COSCO’s numerous arguments, which range wildly in topic, in turn.

I. Application of FRCP 12(b)(6) Requires FRCP 9(b)’s Heightened Pleading Requirements, and the Commission’s 1993 Ruling on its Procedural Rules Explicitly Does Not Address FRCP Rule 9(b).

COSCO argues that Commission precedent does not require a heightened standard of pleading for allegations of fraud and that the Commission “has *expressly and repeatedly rejected* the application of Federal Rule of Civil Procedure (“FRCP”) 9(b) to claims under 46 U.S.C.

§ 41102(a).” (COSCO Opp., p. 6). But COSCO provides a flawed analysis of the Commission’s 1993 evaluation of a proposal to amend its procedural rules to add additional pleading requirements to Section 10(a)(1), a predecessor of Section 41102(a).¹

A more thorough read of the Commission’s proposal and opinion reveals that the Commission’s ruling had nothing to do with FRCP 9(b). In fact, the Commission mentions FRCP 9(b) *only once* in its initial proposal of the rule and does not mention the rule in its decision *at all*. In its initial proposal, the Commission mentions only that its proposal was “patterned after the corresponding rule 9(b)” in that it too suggested pleading Section 41102(a) “with particularity.” *Misc. Amend. to Rules of Practice and Procedure*, Dkt. No. 93-02, 58 Fed. Reg 7199-02, 1993 WL 24815 (FMC 1993). The Commission otherwise notes that FRCP 9(b) covers *different* subject matter (i.e., allegations of fraud) which “bears some resemblance to the type of conduct which is prohibited by section 10(a)(1).” *Id.*

The stated Commission rationale for a heightened pleading requirement was to address an increase in garden variety breach of contract cases (referred to as “simple failure to pay” cases) that were being alleged in bad faith as violations of the statute, and were more appropriately heard in state law courts. *Misc. Amend. to Rules of Practice and Procedure*, Dkt No. 93-02, 58 Fed. Reg. 42273, 1993 FMC LEXIS 28 (FMC 1993) (Discontinuance of Proceeding). The Commission’s decision never once mentions FRCP 9(b), as the Commission decided to forgo its proposal because

¹ COSCO separately argues that the ALJ rejected heightened pleading requirements in another matter before the Commission, *Samsung Electronics America, Inc. v. HMM Co. Ltd.*, Dkt. No. 24-23 (ALJ Order Partially Granting Motion to Dismiss, March 24, 2025). However, COSCO’s cited language refers to a different statute, 46 U.S.C. § 41104(a)(15), under which SEA did not make averments of fraud in its Complaint. Similarly, COSCO cites to *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, Dkt. No. 12-02, 2015 WL 9426189 at *12-14 (Dec. 18, 2015). As with its other example, *Maher Terminals* involves *different* statutory sections, including 46 U.S.C. § 41102(c) (regarding failure to establish, observe, and enforce reasonable practices relating to handling property) and 46 U.S.C. § 41106(3) (regarding unreasonable refusal to deal or negotiate), which do not concern averments of fraud.

the Commission had already incorporated an interpretive regulation, 46 C.F.R. § 571.2 (now embodied in 46 C.F.R. § 545.2), which effectively heightened the pleading requirements under the statute. *Id.* at *9-10 (“In light of the *guidance provided to complainants by the existing regulations*, and the broad discretion to address inadequate pleadings currently enjoyed by ALJs, we are satisfied that a new procedural rule applicable only to section 10(a)(1) is not needed at this time for the efficient disposition of these cases.”) (emphasis added).

As neither the Commission’s proposal nor its decision was concerned with FRCP 9(b)’s application, COSCO’s arguments against a heightened pleading standard are without basis. That the Commission’s 1993 ruling had nothing to do with FRCP 9(b) is clear from the face of the ruling, *which remains authoritative to this day*, despite COSCO’s incorrect characterization of it.² Given this, as there is no specific Commission rule that covers the situation, per 46 C.F.R. § 502.12, “the Federal Rules of Civil Procedure *will* be followed to the extent that they are consistent with sound administrative practice.” *Id.* (emphasis added). COSCO concedes that its arguments ultimately depend on its interpretation of the Commission’s 1993 ruling, and it otherwise has offered no reason why FRCP 9(b)’s goal of (1) providing the defendant with fair notice of the plaintiff’s claim, (2) safeguarding a defendant’s reputation from improvident charges of wrongdoing, and (3) protecting a defendant against the institution of a strike suit, *see Wood ex rel. U.S. v. Applied Research Assocs., Inc.*, 328 Fed. App’x 744, 747 (2d Cir. 2009), is inconsistent with sound administrative practice.

II. COSCO Fails to Plead a Section 41102(a) Violation Under Even A General Pleading Standards.

Despite its many lengthy arguments, COSCO fails to show that it successfully pleads any element of Section 41102(a), under either a general or a heightened pleading standard.

² *Cf. Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 31 S.R.R. 1369 (ALJ June 22, 2010) (Order on Motions to Dismiss) (Commissioner citing to and analyzing the Commission’s proposal and ruling, which as noted, does not address FRCP 9(b)).

1. COSCO Fails to Plead that SEA “knowingly and willfully” Engaged in Conduct and Concedes its Allegations Rely on an Un-pleaded Agency Claim.

COSCO argues in two separate sections of its Opposition that it successfully alleged “knowing and willful” conduct on the part of SEA. In Sections B.2 and C.3. of the Opposition, COSCO argues that Paragraph 73 of the Counterclaim sufficiently alleges “that SEA engaged in the illegal conduct, together with the Third-Party Respondents, ‘*knowingly and willfully*’” (COSCO Opp., pp. 9, 16-17) (emphasis in original). Paragraph 73, however, is just a conclusory statement that “SEA, together with Samsung, has thus knowingly and willfully engaged in an unjust or unfair device or means....” (COSCO Counterclaim ¶ 73), precisely the type of “legal conclusion couched as a factual allegation” that fails under *Ashcroft v. Iqbal*, 556 U.S. 662 (2009).

In any case, COSCO’s appeal to its conclusory statement fails to address a more fundamental issue raised in SEA’s Motion to Dismiss, namely that COSCO does not even successfully allege that SEA knowingly and willfully “obtained or attempted to obtain ocean transportation from COSCO.” (SEA Motion to Dismiss, p. 7). As noted in SEA’s Motion to Dismiss, COSCO does not allege that SEA executed any contracts (COSCO Counterclaim ¶¶ 15-16), nor does COSCO allege that SEA was the shipper or owner of cargo on any contracts (COSCO Counterclaim ¶ 17). In fact, COSCO’s only argument that SEA was even aware of the content of the Service Contracts appears to be its newly-minted argument, introduced for the first time in its Opposition, that SEA, along with Samsung SDS, Samsung Logitech and Samsung, are “joint tortfeasors, and actions and knowledge of one may be attributed to the others,” an argument that it says is supported by Paragraphs 23 and 73 of the Counterclaim, as well as its Third-Party Complaint. (COSCO Opp., p. 2).³

³ Of course, allegations that COSCO makes in its Opposition, especially referring to allegations in another pleading, cannot be considered on a motion to dismiss its Counterclaim. *Hurst v. District of Columbia*, 681 F. App’x. 186, 194 (4th Cir. 2017) (“a plaintiff may not amend her complaint via briefing”).

Paragraph 23 of the Counterclaim alleges that SEA “agreed, as memorialized in paragraph 16 of the Service Contracts, that they would be jointly and severally liable for performance of the terms and conditions of the Service Contract, including the payment of all rates and charges.” COSCO, however, provides no factual basis for asserting this, instead asking the court simply to accept this allegation as true, despite the fact that it is *contradicted* by its acknowledgement that SEA was not a signatory to any of the Service Contracts. (COSCO Counterclaim ¶¶ 15, 16). The Commission, however, is not required to assume pleadings as true where they are so plainly contradicted. *L-7 Designs, Inc. v. Old Navy, LLC*, 647 F.3d 419, 422 (2d Cir. 2011) (court noting that assumption of truth is not granted pleadings where they are contradicted by more specific allegations in the complaint).

COSCO now explains in its Opposition that its allegations regarding SEA’s being bound by the terms of the Service Contracts (COSCO Counterclaim ¶¶ 22, 23) are in fact *based on* its prior allegation (COSCO Counterclaim ¶ 19) that the signatories to the Service Contracts “expressly” signed “on behalf of SEA.” (COSCO Opp., p. 18) (“SEA was bound by the Service Contracts **because** the contracts were expressly signed on behalf of SEA by its owners...”). This is problematic, because COSCO’s allegations ranging from SEA’s purported awareness of and disagreement with the Service Contracts, to its purported concealment, are not independently plead, and appear to rely crucially on a single poorly pleaded allegation.

In Paragraph 19 of the Counterclaim, COSCO alleges that “Samsung Logitech and Samsung SDSAP respectively represented and warranted that each of the Affiliates listed in the executed Appendix B of the Service Contract was an entity controlled by Samsung Logitech or Samsung SDSAP, and that the person executing the Service Contract had the authority to enter into the Service Contract on behalf of the Affiliates listed in Appendix B.” COSCO does not allege what language the Samsung entities used in the purported representation. Nor does COSCO allege

that the representation was written, or even a part of the Service Contracts themselves. Nor does COSCO allege when or to whom the representation was made.

More importantly, COSCO now makes clear in its Opposition, that it means to rely on a theory of agency in attributing liability, awareness, knowledge and willfulness to SEA, throughout its pleadings. The pleading requirements for any theory of agency, however, are substantial, and COSCO does not remotely come close to meeting the pleading requirements for any theory of agency, let alone indicate on what theory of agency it bases its claims. *See e.g. Spagnola v. Chubb Corp.*, 264 F.R.D. 76, 89 (S.D.N.Y. 2010) (court noting “the law recognizes that corporations may be organized in ways to limit liability among separate corporate entities ... thus a parent company is not automatically liable for the acts of a wholly-owned subsidiary,” and noting the substantial pleading requirements for alleging liability under various agency theories). COSCO’s allegations in its Paragraph 19 are entirely inadequate to the task.

In defending its inadequate agency theory pleadings, COSCO argues that issues such as “real or apparent authority ... [are] a complex factual issue that can only be resolved after discovery, not on a preliminary motion.” (COSCO Opp., p. 18). COSCO forgets, however, that real authority and apparent authority have substantial *pleading* requirements, and so an adjudicator must dismiss claims where they fail to adequately plead the agency theory. In this case, the need for adequate pleading is magnified further, as COSCO essentially admits that it does not even know what theory of agency it intends to plead. (COSCO Opp., p. 18) (referring vaguely to “real or apparent authority”). COSCO’s vaguely alleging that Samsung SDS and Samsung Logitech represented and warranted, at some unknown time, in some unknown format, through unspecified language, outside of the Service Contract, that they had “authority to enter into the Service Contract on behalf of the Affiliates listed in Appendix B” is insufficient to plead a non-specific theory of

agency, upon which COSCO mightily imputes all of SEA's purported awareness, bad faith and willfulness in arguing for a violation of Section 41102(a).

2. COSCO Fails to Plead that SEA's Conduct is an Unjust Device or Means.

In addressing Section 41102(a)'s unjust or unfair device or means element, COSCO fails to explain how it adequately pleads in its Counterclaim that SEA utilized an unjust or unfair device or means. COSCO explains that SEA engaged in "concealment" by failing to inform COSCO of their disagreement with a term of the contract – namely SEA's liability "for any delay charges involving the trucker chosen and controlled by SEA." (COSCO Opp., pp. 10-11) ("neither Samsung nor SEA informed COSCO – then or during the term of the contract – that they disagreed with the assignment of liability to which they had plainly agreed."). This explanation is, however, insufficient for several independently fatal reasons.

First, COSCO's pleading an unjust or unfair device by mere conclusory pleading of concealment is insufficient to survive a motion to dismiss. *See Iqbal*, 556 U.S. at 678 ("Threadbare recitals of the elements of a cause of action, supported by mere conclusory statements, do not suffice"). The pleading of concealment is merely conclusory, because concealment is itself an *element* of pleading unjust or unfair device. As noted by the court in *United States v. Open Bulk Carriers*, concealment is but a "necessary element" of the term "unjust or unfair device or means" and as an element of the claim, COSCO cannot just plead concealment – it must plead factual allegations sufficient to reasonably infer concealment. 727 F.2d 1061, 1065 (11th Cir. 1984) (court referring to "the requisite element of fraud or concealment" and noting that the statute "requires the lower rates to be achieved by means of the fraud or concealment, which are necessary elements of the term 'unjust or unfair device or means.'"). *See also Capitol Transportation, Inc. v. United States*, 612 F.2d 1312 (1st Cir. 1979) (referring to "the requisite element of fraud or concealment"). COSCO must plead factual allegations upon which concealment can be reasonably inferred.

COSCO argues that its “lack of specifics is not a valid objection” given its argument for a notice pleading standard. (COSCO Opp., p. 21). This argument, however, ignores the bar on conclusory statements, which specifically targets mere recitals of *elements of a cause of action*. *Iqbal*, 556 U.S. at 678.

Relatedly, under 46 C.F.R. § 545.2 (“Interpretation of Shipping Act of 1984 – Unpaid ocean freight charges”), the associated interpretive rule for Section 41102(a), pleading a violation of Section 41102(a), requires more than allegations of bad faith or deceit – COSCO must allege “*evidence of bad faith or deceit*” in order for the Commission to *infer* an “unjust or unfair device or means.” *Id.* The language from the interpretive rule asking for “evidence” of bad faith or deceit is specifically a reference to the pleading requirements for Section 41102(a). As noted by the Commission in its 1993 ruling, the interpretive rule was issued “[i]n order to clarify [] *jurisdictional* questions and to provide guidance to complainants” given a “marked increase” in complaints alleging “simple failure to pay” ocean freight. *Misc. Amend. to Rules of Practice and Procedure*, Dkt No. 93-02, 58 Fed. Reg. 42273, 1993 FMC LEXIS 28 (FMC 1993) (Discontinuance of Proceeding) (emphasis added). Thus, COSCO’s bare pleading of “concealment” will not do.

Second, COSCO must allege how SEA received the benefit of lower rates “by means of” the unjust or unfair device. See Section 41102(a); *United States v. Open Bulk Carriers*, 727 F.2d at 1065 (“It therefore requires the lower rates to be achieved *by means of* the fraud or concealment, which are necessary elements of the term ‘unjust or unfair device or means.’”) (emphasis in the original). In other words, the “means” component of “unjust or unfair means” is another *element* of the statute, and so COSCO’s failure to plead it is fatal. COSCO however never alleges how SEA’s purported concealment was a *means* to achieving lower rates, nor can it. As further explained below, its only explanation is contradictory and nonsensical: COSCO’s position is that the lower rates offered to SEA were bargained for in exchange for SEA’s payment of detention and

demurrage charges; COSCO accepted SEA's payment of those charges, and so cannot now claim that SEA has inappropriately benefited from lower rates, while it still holds SEA's detention and demurrage payments in its hands.

Finally, as noted in SEA's Motion to Dismiss, at no point does COSCO allege that SEA disagreed with any term of the contract, let alone a specific contract term regarding liability for delays involving truckers – a necessary component of its concealment claim. COSCO attempts to show that it alleged as much in paragraphs 36, 37 and 38 of the Counterclaim. Paragraph 36 of the Counterclaim is, however, simply a statement about what SEA "knew or should have known" about the terms of the Service Contract. Paragraphs 37 and 38 are simply bare conclusory assertions that SEA concealed its disagreement with terms of the contract. COSCO gamely suggests that its failure to allege that SEA disagreed with the terms of the Service Contract is not significant, because "it could readily do so in an amended Counterclaim, if necessary." But that is not true. The pleadings cannot simply be amended in order to remedy a pleadings deficit by whatever allegations would help it to survive a motion to dismiss. COSCO can only include such allegations in an amended Counterclaim if it can make such allegations on a good faith basis.

In response to this difficulty, COSCO attempts to reconceive its failure to plead that SEA disagreed with the terms and conditions of the Service Contracts as a "factual dispute." Its failure to plead this disagreement is, however, already evident from the Counterclaim. It is not the case that COSCO successfully pleads that SEA disagreed with certain terms of the Service Contracts and that SEA challenges the factual accuracy of that allegation. COSCO does not even specifically plead that SEA disagreed with any terms of the contract.

3. COSCO Fails to Plead that SEA Obtained or Attempted to Obtain Ocean Transportation at Lower Rates Than Would Otherwise Apply.

COSCO argues that SEA attempted to obtain ocean transportation for rates lower than those that would otherwise have been applicable, by "mischaracterizing and concealing relevant facts to

achieve ocean freight rates that they would not have obtained from COSCO.” (COSCO Opp., p. 12) (Counterclaim ¶ 38). COSCO’s argument is, however, undercut by the fact that, as a substantive matter, it has received exactly what it purports to be entitled to under the Services Contract, and so cannot explain how SEA got or attempted to get the benefit of rates that were lower than “would otherwise apply.” 46 U.S.C. § 41102(a).

COSCO offered rates that it says were *incumbent* on contractual language that it argues entitled it to the payment of detention and demurrage charges. (COSCO Opp., p. 10) (“COSCO offered SEA ... rates lower than the otherwise-applicable tariff rates based on two main conditions ... that (ii) the Samsung entities, including SEA, agree ... that SEA, not COSCO, would be legally responsible for any delay charges involving the trucker chosen and controlled by SEA.”). COSCO acknowledges that, as a substantive matter, SEA paid those detention and demurrage charges for which it alleges SEA was legally responsible. (COSCO Counterclaim ¶ 71) (COSCO acknowledging that “SEA is attempting to *recoup* the demurrage, detention and other costs that have been rightfully charged to and incurred by SEA”) (emphasis added). As a party that *asked for* exactly this contractual arrangement, and who now holds in its hands the benefit that it purports to be owed under that contractual arrangement, COSCO cannot without contradiction allege that SEA has now somehow obtained ocean transportation “at less than the rates or charges that would otherwise apply.” The rates or charges that apply are the very ones spelled out by the contract under which it knowingly received detention and demurrage payments from SEA. COSCO attempts to misdirect by focusing its arguments only on the rates that COSCO would have offered had it known of SEA’s purported disagreement. However, in that same scenario, COSCO by its very words also would not have received all of the payments that SEA made for detention and demurrage charges either. COSCO cannot have it both ways.

Finally, COSCO spends a great deal of breath making a strawman of SEA's arguments analyzing *Hohenberg*. (COSCO Opp., pp. 24-25) ("SEA baldly asserts that in order to violate 46 U.S.C. § 41102(a), the shipper must intend to deceive either government inspectors or competitors"). As SEA does not actually make these arguments, it does not respond to them. What SEA does argue is that "[i]n *Hohenberg*, the petitioner's concealment from government inspectors was obviously a means to its securing a reduced rate." (SEA Motion to Dismiss, p. 13). Despite all of its analysis of *Hohenberg*, COSCO still does not address its failure to allege how SEA's purported concealment was a means to its achieving a reduced rate. As argued in SEA's Motion to Dismiss, SEA can only seek a refund on detention and demurrage charges by successfully arguing its case before the Commission under the very terms of the contract which COSCO seeks to enforce in its Counterclaim. In a very literal sense, SEA will not "obtain rates and/or charges lower than those otherwise applicable." The applicable rates and/or charges are the ones under the Service Contracts. By bringing its case to the Commission, SEA will receive the rates and/or charges that it is owed under the Service Contracts.

4. COSCO's Allegations Regarding the Purported Unpaid \$4 Million Are Barred by Interpretive Regulation.

Separate from its concealment claim, COSCO alleges that SEA "obtained rates and/or charges lower than those otherwise applicable" by "refus[ing] to pay COSCO over \$4 million in detention charges for which SEA was legally responsible." (COSCO Opp., p. 12). COSCO's claim here, however, falls squarely within the category of alleging "simple failure to pay," which the Commission has explicitly prohibited in its interpretive regulations. 46 C.F.R. § 545.2. ("In the absence of bad faith or deceit, the ... Commission will not infer an 'unjust or unfair device or means' from the failure of a shipper to pay ocean freight.").

Notably, COSCO alleges no unjust or unfair device *in relation to* SEA's purported non-payment of \$4 million in detention charges. COSCO moreover provides no specific information

about the nature of the \$4 million in detention and demurrage charges which it alleges SEA has not paid. And any attempt by COSCO to plead bad faith for non-payment is heavily undercut by the fact that COSCO acknowledges that SEA is not liable for detention and demurrage charges that are the fault of COSCO. (COSCO Counterclaim ¶ 60) (“... under the Service Contracts ... Samsung and SEA were responsible for detention and demurrage charges, unless the delays resulted directly from fault by COSCO”). COSCO does not even allege that a majority of D&D charges are the result of SEA fault. *See* COSCO Counterclaim ¶¶ 69-70 (COSCO only alleging that “a substantial portion” and “a portion” of demurrage and detention charges were attributable to SEA).

COSCO’s claim here is, incidentally, a far cry from the prototypical example of bad faith in a failure to pay case, where “a shipper, in bad faith, induced the carrier to relinquish its possessory lien on the cargo and to transport the cargo without prepayment by the shipper of the applicable freight charges.” 46 C.F.R. § 545.2. COSCO alleges nothing close to this.

5. COSCO Arguments that SEA Was a “Shipper” and “Owner” are Irrelevant to Pleading a Violation of Section 41102(a).

In alleging that SEA “attempted either successfully or otherwise, to obtain ocean transportation,” COSCO now argues that SEA is a “shipper” and “owner” based on SEA’s pleadings in its Amended Complaint, as well as a definition given in a separate statute. These arguments, however, fail to attend to the actual language of Section 41102(a), and so do not remedy COSCO’s continuing failure to allege that SEA “attempted ... to obtain ocean transportation.”

COSCO argues that “cargo sent from Asia was delivered to SEA as the consignee and, upon information and belief and SEA’s own pleadings, SEA thereupon took title to the cargo.” (COSCO Opp., p. 13) (citing SEA Am. Compl. ¶¶ 7-10, 17, 19, 41, 71, 76). Given this, COSCO alleges that SEA was a “shipper” within the meaning of 46 U.S.C. § 40102(23), given its status as consignee. COSCO also argues that SEA was an “owner” of the cargo given that it subsequently took title to the goods upon receipt. (COSCO Opp., p. 13). However, Section 41102(a) does not purport to

regulate the behavior of “shippers” as defined by 46 U.S.C. § 40102(23), or entities who merely “take title to cargo” upon receipt. It purports to regulate persons who “obtain or attempt to obtain ocean transportation for property.” 46 U.S.C. § 41102(a). As COSCO only alleges that SEA is a statutory “shipper” given its status as “the person to whom delivery is made,” and an “owner” given its status as a party who “thereupon took title to the cargo” after shipment, its arguments effectively take it nowhere. COSCO still fails to allege that SEA “obtained or attempted to obtain” ocean transportation for property, despite its terminological exercise.

COSCO also alleges that SEA is an “owner” of goods by mischaracterizing pleadings from SEA’s Amended Complaint. (COSCO Opp., p. 13) (citing to SEA Amended Complaint ¶¶ 7-10, 17, 19, 41, 71, 76). However, COSCO never incorporated these allegation into its Counterclaim pleadings, and any new allegations it makes in its Opposition cannot be considered as part of its Counterclaim pleadings on a motion to dismiss. *See, e.g., Hurst v. District of Columbia*, 681 F. App’x. 186, 194 (4th Cir. 2017) (“a plaintiff may not amend her complaint via briefing”).

These SEA’s Amended Complaint cited paragraphs do not actually allege that SEA is an owner of *cargo*, so much as they informally refer to SEA as the entity for whom the goods are intended. COSCO either *denies* or *claims ignorance* as to each of these allegations, making its attempt to incorporate them into its pleading meaningless.⁴

III. COSCO Fails to Address *Noerr-Pennington*.

COSCO first argues that SEA “violated the Shipping Act *well before* SEA filed its Complaint,” presumably referring to its claim that SEA “concealed” its disagreement with the terms of the Services Contract, from the date of the signing of the contracts. (COSCO Opp., p. 25).

⁴ *Cf.* (COSCO Opp., p. 13) (citing to ¶¶ 7-10, 17, 19, 41, 71, 76 of SEA’s Amended Complaint) and (COSCO Answer ¶¶ 7-10, 17, 19, 41, 71, 76) (COSCO either denying or claiming ignorance of the cited allegations of SEA’s Amended Complaint; *e.g.*, “Respondent denies ... that there is such a thing as “SEA Containers”).

COSCO's argument is misleading as COSCO does not allege (nor can it) that SEA's purported "concealment" is, per se, illegal or a violation of the Shipping Act. Violation of Section 41102(a) requires, at the very least, that the concealment be a *means* to securing lower rates – something that it does not allege happened until SEA issued its demand letter or brought a claim before the Commission. Prior to its demand, SEA purportedly only disagreed with the terms of the Service Contract internally in its own mind – activity that may in fact fall outside the scope of *Noerr-Pennington*, but also activity that could not be illegal let alone a violation of Section 41102(a).

COSCO then incorrectly relies on *Capitol Transportation, Inc. v. United States*, 612 F.2d 1312 (1st Cir. 1979), and *Bank Line Limited v. Jet Set Marine, Inc.*, Dkt. No. 91-58, 26 S.R.R. 380 (ALJ Denial of Summary Judgment, May 8, 1992) for the claim that "courts have held that an unjust or unfair device or means may be found where the shipper interposes non-meritorious arguments in litigation." (COSCO Opp., p. 25). In *Capitol Transportation*, the court found that a Respondent's refusal to pay for detention and demurrage charges, coupled with its failure to present a legal defense, obstructive litigation tactics, and correspondence indicating bad faith resistance to payment "reflected a calculated judgment to fight [Complainant] to the end, forcing it to pay in blood, sweat and treasure for every penny eventually collected." 612 F.2d at 1323. Even in the extreme case of *Capitol Transportation*, the court observed that "this case undoubtedly nears the outer limits of [the statute]." *Id.*; see also *Bank Line Ltd.*, 26 S.R.R. at 383 (noting the record "showed a pattern of obstruction by the respondent against paying the money due"). Here, COSCO does not allege a "pattern of obstruction" by SEA, nor can it, since SEA's litigation is not "obstructing" COSCO from receiving D&D payments. SEA paid all D&D charges.

IV. COSCO's Counterclaim Should be Dismissed With Prejudice.

COSCO's Counterclaim should be dismissed with prejudice. SEA recognizes that leave to amend pleadings is often granted. But COSCO's Counterclaim cannot state any cognizable or

intelligible basis for a claim under Section 41102(a). Stripped of its legal labels, redundancies and irrelevancies, the Counterclaim is merely COSCO's argument that its practice of demanding demurrage and detention from the consignee of a store-door shipment for delayed deliveries is permitted by its service agreement and any subsequent legal challenge to that practice is unlawful. That is not a viable counterclaim. Accordingly, COSCO's Counterclaim should be dismissed with prejudice. *See, e.g., Cuoco v. Moritsugu*, 222 F.3d 99, 112 (2d Cir. 2000) ("The problem with [plaintiff's] cause[] of action is substantive; better pleading will not cure it. Repleading would thus be futile. Such a futile request to replead should be denied.").

CONCLUSION

For the reasons set forth in the Motion and herein, Complainant SEA respectfully requests an Order dismissing with prejudice COSCO's Counterclaim.

Dated June 30, 2025

Respectfully submitted,

HOLLAND & KNIGHT LLP

By: /s/ Christopher R. Nolan

Christopher R. Nolan
Marisa A. Marinelli, Esq.
HOLLAND & KNIGHT LLP
31 West 52nd Street
New York, NY 10019
Telephone: (212) 513-3200
chris.nolan@hklaw.com
marisa.marinelli@hklaw.com

Gerald A. Morrissey III
Kristine O. Little
HOLLAND & KNIGHT LLP
800 17th Street N.W., Suite 1100
Washington, D.C. 20006
Telephone: (202) 469-5497
gerald.morrissey@hklaw.com
kristine.little@hklaw.com

AMENDED CERTIFICATE OF SERVICE

I hereby certify that I served the foregoing document by electronic mail upon the Federal Maritime Commission on June 30th and the following counsel on July 1st at the following addresses:

1. Jeffrey/Fenneman Law + Strategy, PLLC
Counsel for Respondent and Third-Party Complainant
Eric C. Jeffrey
EJeffrey@JeffreyFenneman.com
Rebecca A. Fenneman
RFenneman@JeffreyFenneman.com
Kaya Massey
KMassey@JeffreyFenneman.com
Nicholas Webb
NWebb@JeffreyFenneman.com
2. Nixon Peabody LLP
Counsel for Respondent and Third-Party Complainant
Brian J. Whittaker
bwhittaker@nixonpeabody.com
Gordon L. Lang
glang@nixonpeabody.com
Martha A. Medina
mmedina@nixonpeabody.com
3. Hohenstein & Parkinson, LLP
Counsel for Third Party Respondent
James H. Hohenstein
jim.hohenstein@hplawnyc.com

Dated: July 1, 2025

By: /s/ Kristine O. Little

HOLLAND & KNIGHT LLP

*Counsel to Samsung
Electronics America, Inc.*